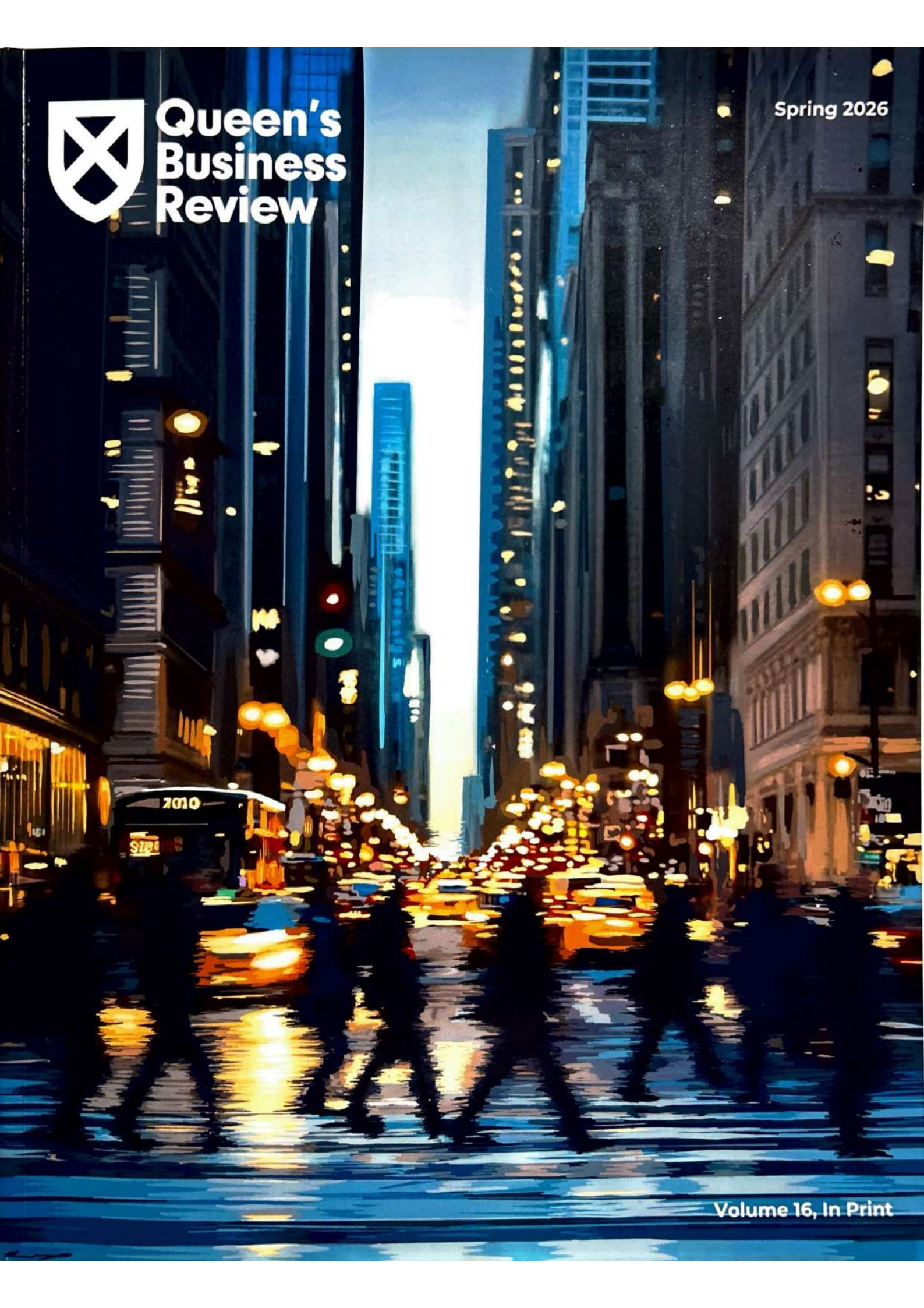




Queen's Business Review

Spring 2026



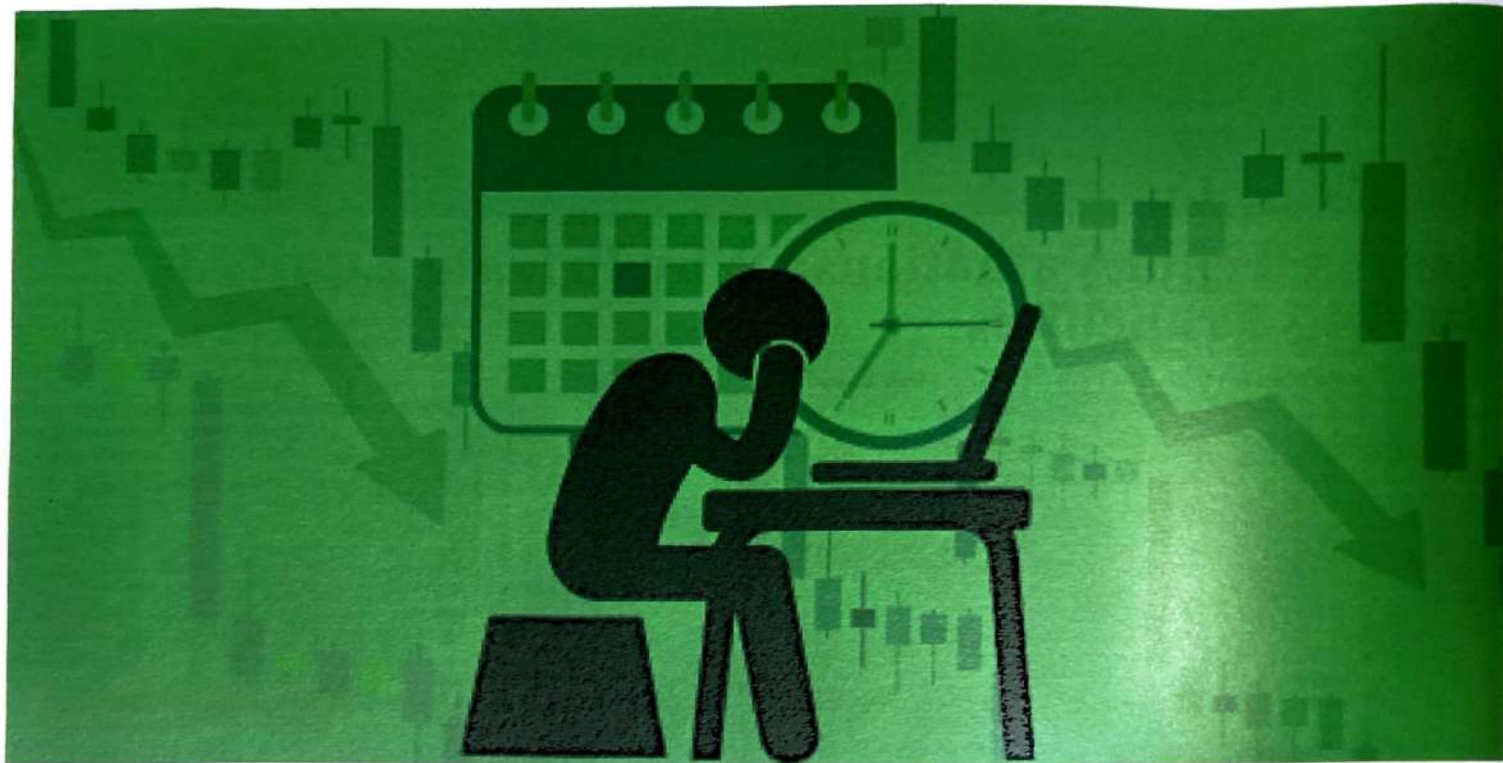
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merchandise model. However, there is further potential for revenue diversification when looking at real estate. The biggest example of turning real estate and stadiums into pivotal parts of the franchise's valuation is SoFi Stadium, home to the Los Angeles Rams. It is a sprawling USD \$5 billion complex including retail, hotels, offices, and residential units. Elsewhere, New York Mets ownership are also looking at building an USD \$8 billion casino complex at Citi Field. When stadiums are not being used, the real estate they sit on is not being utilized to its maximum potential, since teams do not play year-round. These "superstadiums" allow ownership to capture real estate appreciation along with rental income even when teams are not playing.

In private equity, store-of-value, which is an asset's ability to maintain its purchasing power over time without deteriorating, is held in high regard. For these firms, real estate is the perfect store-of-value to complement the sports franchises whose growth lifts everything around it. Looking past real estate, areas such as tickets and concessions make up a significant chunk of sports teams valuations and profits. These sources of income rise with inflation. The price of tickets and the price of popcorn at a baseball game will naturally hedge against inflationary concerns, making it attractive to firms looking to diversify their revenue.

What's Next?

Sports franchises are a new and exciting asset class with certain aspects that are difficult to find anywhere else, in terms of scarcity, cash flow predictability, and inflation-resistant revenue. This is the reason why funds are going out of their way to invest in them. The fast rise of private equity in sports is not a shift that is immediately visible to the end consumers of this product. For now, it does not significantly affect the on-court or the on-ice product that ticketholders flock to see. This may be due to the fact that there are regulations present limiting private equity to minority stakes. As franchise valuations continue to climb, leagues may find little choice but to raise ownership caps on PE firms, allowing them to purchase larger shares. The question is whether fans of sports teams who care deeply about each season's performance can accept private equity's long-term vision for the game, whether that be a five, seven, or even a ten-year exit timeline.



How Often is Too Often? Examining Earnings Reports in Modern Capital Markets

Written by Sharanya Sivasathiyathan, Junior Editor | Illustrated by Afrah Khan

In September 2025, the Trump administration revived a familiar idea that surfaces periodically in corporate governance circles. The proposal calls for reducing the frequency of mandatory earnings reporting for U.S. public companies from quarterly to semi-annual. The argument, as it has appeared for decades, runs that quarterly reporting forces executives to manage toward ninety-day horizons and therefore suppresses long-term investment in favour of earnings-per-share optics. Europe,

so the logic goes, reports semi-annually and manages to take a longer view. Therefore, if American companies reported less often, their leaders might act more like stewards than speculators.

It is a coherent argument. It is also largely wrong, and the ways in which it is wrong matter more than whether any particular administration succeeds in implementing the policy. The case against quarterly reporting conflates two separate problems, attributes one to the wrong cause, and in proposing a

remedy, makes the other materially worse. Short-termism in corporate decision-making is indeed real, but it is a governance problem instead of a reporting problem. Information asymmetry in public markets is also legitimate, and reducing disclosure frequency would widen it significantly. The costs would fall most heavily on those least equipped to bear them. In fact, the people most likely to champion less transparency are often those least likely to be harmed by it.

The European Proof Point Doesn't Prove What People Think It Proves

European markets are often cited as evidence that semi-annual reporting is effective, but this example is far more rhetorical than it is analytical. The EU's Transparency Directive and the UK's former Disclosure and Transparency Rules did not actually eliminate sub-annual reporting; instead, they introduced Interim Management Statements (IMS) as a middle ground between quarterly and semi-annual disclosure. IMS reports were largely narrative and qualitative as they offered high managerial discretion at the expense of little standardization. This made them closer to press releases than U.S. 10-Q filings, which include standardized GAAP financials and detailed earnings data enabling direct firm-to-firm comparisons. When the EU later made IMS voluntary, most firms dropped it altogether; research examining capital expenditure and R&D spending following the voluntarization of IMS found no statistically significant increase in either. In short, companies did not invest more when they reported less — they simply reported less.

Moreover, the comparison with Europe also overlooks a fundamental difference: the EU never had a U.S.-style quarterly reporting regime to scale back. In the United States, this debate concerns reducing disclosure from a well-established, auditor-reviewed system. In Europe, the discussion focused on whether relatively lighter interim disclosure requirements were sufficient within their existing regulatory environment. Treating Europe as a model for U.S. reform therefore misrepresents the baseline.

Short-Termism Is a Governance Problem

Still, those advocating for fewer reports are right about the pressures of short timelines. Executives face enormous expectations to deliver near-term earnings growth. Boards often reward quarterly performance in ways that can discourage investments with long payback periods. Most executive pay at large public companies remains tied to one-year performance metrics like EPS growth, ROE, and revenue targets. These create powerful disincentives for investments whose costs are front-loaded and whose returns accrue over multiple years.

For example, a CEO deciding whether to build a new manufacturing facility or fund a multi-year R&D program with a fifteen-year payback faces a compensation structure that penalizes the short-term earnings dip such projects create. This hurts the metrics that determine bonuses and performance reviews, no matter how often the company reports to the SEC. This misalignment is only worsened by the fact that return on invested capital varies widely by sector but rarely aligns with an annual performance review cycle. Infrastructure and utilities projects can take ten to twenty years to reach full payback, while even in faster-moving sectors like technology or consumer goods, meaningful capital investments usually require several years to generate positive returns.

Furthermore, the high price-to-earnings ratios of growth stocks like NVIDIA demonstrate that investors can and do value long-term cash flow potential. If quarterly reporting truly forced market myopia, firms with volatile short-term earnings but optimistic long-term prospects would be systematically undervalued. Instead, investors regularly pay a premium for NVIDIA's future growth in AI and semiconductors. Addressing short-termism therefore requires reforming incentive systems: revising annual bonus structures and multi-year equity vesting schedules. However, this is far more difficult, less visible, and less convenient for the executives most vocal about fewer reporting requirements.

Who Actually Benefits From Less Disclosure

Large institutional investors maintain direct access to management through analyst days, non-deal roadshows, and continuous sell-side research. When a company goes from filing four times a year to two, a large asset manager with these resources only experiences a modest rise in uncertainty that they can mostly offset through existing channels.

Retail investors have none of these alternatives. They rely entirely on public filings for audited data on earnings trajectories, cash flow stability, changes to the balance sheet, and management's forward-looking goals. Cutting reports in half doubles the time they operate on stale information, and during those gaps, institutions continue trading on fresh private insights. This inevitably widens the persistent information gap between professional and retail participants, not due to analytical skill differences, but to unequal structural support.

Additionally, research coverage of mid-cap and small-cap companies is already sparse. The economic model for analyst research relies on regular disclosure events to spark client interest and trading volume. Fewer reports mean fewer catalysts around which research can be organized and monetized, thereby leading to wider bid-ask spreads and lower transparency for investors. This is the opposite of what healthy public markets need.

The Connection to Private Markets

Reduced disclosure frequency would accelerate a major ongoing shift in the financial system that is already well underway: the migration of capital from public to private markets. The number of U.S.-listed public companies peaked in the late 1990s and has declined materially since, as firms stay private longer, IPO activity contracts relative to GDP, and private equity/credit assets under management have exploded in size. While multi-causal, this trend consistently features executives and founders viewing public listing as a burden-to-benefit tradeoff that favours avoiding the public route to limit disclosure burdens and litigation risk. Thus, some policymakers respond to the decline in public listings by loosening disclosure rules to make public markets resemble private ones.

Who Gets Left Holding the Wrong Lever

If the goal is to revive public markets and increase participation in wealth creation, the answer is not less transparency but stronger governance. Companies should align incentives with long-term performance by linking compensation to multi-year results, innovation progress, and sustainability goals that represent lasting enterprise value.

There is a greater opportunity hidden in this debate. In an era where confidence in institutions and markets is increasingly fragile, trust has become a form of competitive capital. Firms that communicate candidly and consistently through transparent earnings discussions and accessible investor relations differentiate themselves not just to investors, but to employees, regulators, and customers alike. Transparency invites scrutiny but compounds trust over time much like any other asset. In seeking to escape short-term pressure by reporting less often, firms may instead forfeit one of the few mechanisms left that boosts long-term confidence in markets.

Personal Financial Statement

DATE: _____

APPLICANT

Full Name _____
 Phone (home) _____
 Phone (work) _____

Current Address

Street Address _____
 City/State/Zip _____
 County _____
 Since _____

Own or Rent _____ Rent \$ _____

Previous Address (if less than 5 years of current)

Street Address _____
 City/State/Zip _____
 County _____
 Since _____

Owned or Rented _____

Company Name

Balance Sheet

Date: _____

Assets	2020	2019
Current Assets		
Cash		
Accounts receivable		
Inventory		
Prepaid expenses		
Short-term investments		
Total Current Assets	\$ 11,874	\$
Fixed (Long-Term) Assets		
Long-term investments		
Property, plant, and equipment	1,200	
(Less accumulated depreciation)	15,340	
Intangible assets	(2,200)	
Total Fixed Assets	\$ 14,340	\$
Other Assets		
Deferred income tax		
Other		

Sales Forecast Template

Units Sold	Jan-15	Feb-15	Mar-15	Apr-15	May-15	Jun-15	Jul-15	Aug-15	Sep-15	Oct-15	Nov-15	Dec-15	Year 1 Total Units Sold
Product Series A	800	850	900	950	1000	1050	1100	1150	1200	1250	1300	1350	11,000
Product Series B	1000	1050	1100	1150	1200	1250	1300	1350	1400	1450	1500	1550	12,000
Product Series C	150	160	170	180	190	200	210	220	230	240	250	260	2,000
Total	2,350	2,460	2,570	2,680	2,790	2,900	3,010	3,120	3,230	3,340	3,450	3,560	25,000

Unit Price: _____

Revenue: _____

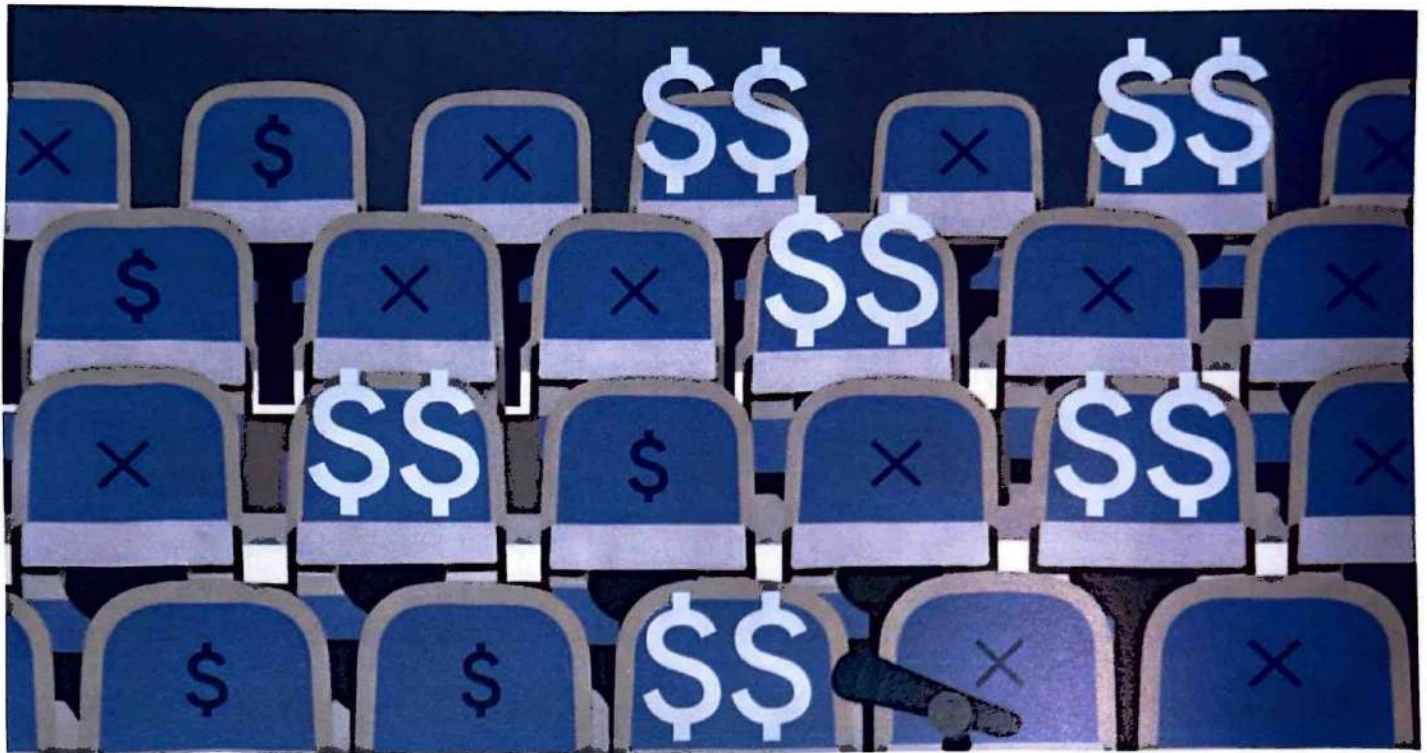
Expenses: _____

Profit: _____

Income Statement

For the Years Ending (Dec 31, 2019 and Dec 31, 2018)

	2019	2018
Revenue		
Cost of Goods Sold		
Gross Profit		
Operating Expenses		
Operating Income		
Other Income		
Net Income		



The Algorithm Is Sitting in the Front Row

Written by **Sharanya Sivasathiyathan**, Junior Editor | Illustrated by **Afra Khan**

In 1993, a 100-level World Series ticket to cheer on the Blue Jays costed approximately CAD \$67 (which is around CAD \$152 today when adjusted for inflation). Now, that same seat, usually available only through resale, goes for over CAD \$11,000 before taxes and fees.

Gone are the days when a ticket to a major sporting or entertainment event was a tangible, attainable slice of shared culture. In 2025, attending a marquee event has become a high-stakes game of algorithmic cat and mouse, where fans compete against ruthless software in a market rigged by dynamic pricing and ticket bots. Contrary to popular belief, this steep inflation is not the result of supply and demand market forces, but instead the consequence of entrenched technology designed to maximize profits for "scalpers."

Dynamic pricing refers to the practice of adjusting ticket costs in real time based on supply, demand, competitor prices, and consumer behavior through algorithmic software. It is commonplace in sectors like airlines and retail. Ticketmaster, owned by Live Nation Entertainment, applies demand-based dynamic pricing. Their algorithms analyze historical sales and seat location (value perception) among other factors to set fluctuating prices and maximize revenue. While dynamic pricing could theoretically balance demand and supply efficiently, it often exacerbates ticket price inflation for high-demand events, therefore pricing out many fans and undermining the communal spirit that cultural events aim to foster.

Part of the challenge to address this lies in meeting supply and demand, because the desire to attend high-profile events will always exceed available seats. As such, this creates a fertile ground for unchecked scalpers (unauthorized resellers) to proliferate ticket bots using countless IP addresses and scripts that can snap up tickets faster than any human and empty ticket inventories in seconds. These scalper bots also create fake or hijack legitimate accounts to bypass purchase limits and block genuine fans from acquiring face-value tickets; they are then forced to enter the secondary market where scalpers resell at exorbitant prices. Ticketmaster profits from both the primary and secondary markets, creating a conflict of interest that has become a key point of contention amid consumers.

Although laws banning ticket bots are in place, like the Better Online Ticket Sales Act in the United States and Ontario's scalper bot ban, they are generally unenforceable pieces of legislation that create a gap in revenue that is accessible to neither artists nor venues. This not only damages the fabric of communal experiences that sports and cultural events provide, but also unfairly shifts public wrath onto venue staff and organizers who have little control over these practices. Frontline workers bear the brunt of frustrated fans' anger, tarnishing the reputation of venues and cultural institutions through no fault of their own.

Dynamic pricing is fully legal. In fact, its fully-transparent use has the potential to smooth attendance and improve visitor experiences without pricing out families or

lower-income individuals (ex. how Disney manages crowd levels), but policy intervention is necessary where bots are involved. Capping resale profits as Ontario attempted with its 50 per cent cap on resale prices is a great starting point, but in the long-term, banning scalper bots is critical. Research has found that successful monitoring of such a ban can be consistently implemented through virtual waiting rooms and verified fan access systems. Overall, cultural fixtures like live sports and entertainment carry public good value beyond profit maximization as exclusive commodities. They enrich society by promoting cultural diversity and community engagement! As such, algorithms should never compromise fairness to enter these spaces. So, preserving inclusive access to these quintessential Canadian experiences ensures the algorithm still serves the fans in the front row, and not just the highest bidder.

The Response

Written by **Issac Moore**, Senior Editor

As I read this article, I was reminded of the Blue Jays series and my experience looking for a ticket. Opening my computer, pulling up Ticketmaster, only to be dumbfounded by the price of most seats exceeding my bank account balance... Truthfully, prices have gone from expensive to impossible, and in this article Sivasathiyathan does an excellent job covering why.

Sivasathiyathan effectively conveys how demand-based pricing and automated reselling are used together to bid prices out of reach for the average fan.